

BUILD YOUR SKILLS: INVESTING

Please answer the following questions. Answers can be found in the back of the book.

1. What is the biggest risk of investing all of your money in one company's stock?
2. Explain what an index fund is to a friend, coworker, or parent.
3. Use the compound interest calculator at www.investor.gov/financial-tools-calculators/calculators/compound-interest-calculator to answer the following question: If you start with no money and invest \$100 per month from age 21 to 65 (a period of 44 years) with a 7% interest rate, how much money will you have at age 65? How much of that money is from your contributions?
4. Imagine that you are planning to invest in an index fund that tracks the S&P 500 for 30 years or more. Explain to a friend why you would not panic and sell your stocks when you see the market begin to slow down or fall.